Quillwood Credit Partners

Origination and credit | Internal working paper

Investment Committee Paper
Pinnacle Early Learning

A$85.0M senior secured term loan: refinance and greenfield expansion

Prepared for the Quillwood Credit Partners Investment Committee

Version 1.0, for decision

3 August 2023

Confidential. Synthetic - for demonstration. All names, entities and figures are fictional.

Reference: QCP-IC-2023-0157

Date: 3 August 2023

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Borrower	Pinnacle Early Learning Pty Ltd
ABN	48 011 896 099
Deal reference	QCP-CO-2023-0157
Sponsor	Pinnacle founders and Stirling Growth Fund
Sector	Corporate, childcare (long day care)
Location of head office	Parramatta, NSW
Facility	A$85.0M senior secured term loan
Prepared by	Quillwood Credit Partners, Corporate Credit
Prepared for	Investment Committee
Date	3 August 2023
Version	1.0

Transaction details

1. Executive summary

Quillwood Credit Partners (Quillwood) has been mandated by Pinnacle Early Learning Pty Ltd (Pinnacle or the Borrower) to arrange and underwrite a five year, A$85.0M senior secured term loan. Proceeds, together with A$11.0M of balance sheet cash, will refinance Pinnacle's existing debt, fund the remaining construction cost of five greenfield centres and meet transaction costs. Financial close is targeted for 15 August 2023 and the facility matures on 15 August 2028.

Pinnacle is a Parramatta based operator of long day care centres in New South Wales, Victoria and Queensland. It currently operates 69 centres with approximately 5,700 licensed places. The five greenfield centres will take the network to 74 centres and 6,120 places. Average occupancy over the 2023 financial year (FY23) was 85%, revenue was A$174.0M and EBITDA (pre-AASB 16) was A$31.8M, a margin of 18.3%.

The facility is priced at 3-month BBSW plus 4.75%. At an indicative BBSW of 3.85%, the all-in rate is 8.60% and annual interest on A$85.0M is A$7.31M. Security is a general security deed over all assets of the Borrower and guarantees from all operating subsidiaries. Financial covenants are tested quarterly on a last twelve months (LTM) basis: net leverage not more than 3.25x and interest cover not less than 2.50x.

At approval, net debt is A$76.6M (gross debt of A$85.0M less free cash of A$8.4M), giving net leverage of 2.41x and interest cover of 4.35x. EBITDA could fall by 25.8% before the net leverage covenant is breached, and by 42.5% before the interest cover covenant is breached, holding net debt constant.

The credit has three principal strengths: a diversified portfolio with no single centre material to earnings, a resilient demand profile supported by the federal Child Care Subsidy, and moderate opening leverage with a clear deleveraging path. The principal weaknesses are the sector's exposure to labour cost inflation, the ramp-up risk on newer and greenfield centres, and local supply competition, particularly in western Sydney, which is Pinnacle's home market.

We recommend that the Committee approve the facility, subject to the conditions set out in section 2 and the conditions precedent and subsequent in section 9.

2. Recommendation

Quillwood recommends that the Investment Committee approve:

- an A$85.0M senior secured term loan to Pinnacle Early Learning Pty Ltd, with a five year tenor to 15 August 2028, at a margin of 4.75% per annum over 3-month BBSW;
- Quillwood acting as lead arranger, underwriter and facility agent, with the final Quillwood hold to be confirmed at syndication and not to exceed A$85.0M;

- a proposed internal risk grade of B+ equivalent, consistent with the leverage, sector and pricing profile described below.

Approval is recommended subject to the following headline conditions, which are detailed in section 9:

- satisfactory completion of financial due diligence confirming FY23 EBITDA of not less than A$31.0M on a pre-AASB 16 basis, and delivery of audited FY23 accounts;
- interest rate hedging of not less than 50% of the drawn amount for at least three years, in place within 60 days of financial close;
- greenfield capital expenditure of A$14.0M held in a controlled capex account and released only against certified construction progress, with that balance excluded from cash in the net leverage calculation;
- a restriction on shareholder distributions where net leverage exceeds 2.75x, and a requirement for lender consent to any acquisition with a purchase price above A$5.0M and to any additional financial indebtedness above an agreed basket;
- monthly reporting of occupancy and EBITDA by centre, with particular attention to centres opened since 2022 and to the five greenfield centres.

The Committee should note that the covenant package has been set with approximately 26% EBITDA headroom to the leverage test at close. We consider this adequate for a business of this profile, but it is not generous if occupancy and wage cost pressures were to occur together. This is addressed in sections 6 and 7.

3. The transaction

3.1 Purpose and structure

Pinnacle's existing debt is held across several bilateral facilities with differing maturities and covenant packages. The proposed facility consolidates these into a single senior secured term loan, extends the average tenor to five years and provides committed funding for the remaining construction cost of five greenfield centres. The facility is a single fully drawn term loan with no revolving or undrawn component. Repayment is in full at maturity, with no scheduled amortisation.

Term	Detail
Borrower	Pinnacle Early Learning Pty Ltd
Facility	Senior secured term loan
Limit	A$85.0M, fully drawn at close
Purpose	Refinance existing debt and fund five greenfield centres
Financial close	15 August 2023
Maturity	15 August 2028 (five years)
Interest	3-month BBSW plus 4.75% per annum
Security	General security deed; guarantees from all operating subsidiaries
Net leverage covenant	Not more than 3.25x, tested quarterly on LTM
Interest cover covenant	Not less than 2.50x, tested quarterly on LTM

Table 1. Proposed terms

3.2 Sources and uses

Sources	A$M
Senior secured term loan	85.0
Pinnacle cash on hand	11.0
Total sources	**96.0**

Table 2. Sources of funds

Uses	A$M
Refinance existing debt	71.6
Greenfield capex (five centres, capex account)	14.0
Fees and transaction costs	2.0
Free cash retained	8.4
Total uses	**96.0**

Table 3. Uses of funds

The greenfield allocation of A$14.0M equates to approximately A$2.8M per centre for remaining fit-out, equipment, pre-opening costs and working capital. It will be held in a controlled capex account. Because this balance is drawn debt that is not available to service the business, it is excluded from cash when calculating net debt. Free cash retained of A$8.4M is therefore the only cash counted in the covenant calculation, and the 2.41x opening leverage reflects that treatment.

3.3 Pricing

The margin of 4.75% over 3-month BBSW is, in our view, appropriate for a B+ equivalent credit in a sector that is operationally defensive but exposed to wage inflation and supply competition. At a BBSW of 3.85% the all-in cost is 8.60%. Each 100 basis point rise in BBSW adds A$0.85M to annual interest on the unhedged balance and would reduce opening interest cover from 4.35x to 3.90x if the entire facility were unhedged. This is the reason for the hedging condition.

4. Borrower and sponsor

4.1 Business overview

Pinnacle was founded in Parramatta and has grown organically and by selective greenfield development into a mid-sized operator of long day care centres. It operates 69 centres in New South Wales, Victoria and Queensland, with approximately 5,700 licensed places, and has five further centres under development that will lift the network to 74 centres and 6,120 places. The average centre has around 83 places, which is in line with the industry norm for purpose built centres.

Revenue is predominantly parent-paid fees, of which a large part is offset by the Child Care Subsidy paid by the federal government directly to the provider. Fee levels are set centre by centre and are reviewed annually. Employee costs, comprising educators, centre directors and area management, are the dominant cost and represent roughly two thirds of revenue. Rent is the second largest cost, with most centres operated under long leases from third party landlords. Quillwood has analysed EBITDA on a pre-AASB 16 basis so that rent is treated as an operating cost, consistent with the covenant definition.

4.2 Operating performance

Average occupancy in FY23 was 85%, which is above the sector average and reflects the maturity of the core estate. Two centres opened since 2022, at Marsden Park (NSW) and Box Hill (Victoria), are still ramping and are below the portfolio average. Management expects both to reach 80% occupancy within their first three years of operation, which is consistent with the ramp profile of Pinnacle's earlier greenfield openings. Quillwood has not assumed any contribution from these centres above their current run rate in the downside case.

Metric	FY23
Operating centres	69
Licensed places (approx.)	5,700
Average occupancy	85%
Revenue (A$M)	174.0
EBITDA, pre-AASB 16 (A$M)	31.8
EBITDA margin	18.3%

Table 4. Operating profile, year to 30 June 2023 (management accounts, unaudited)

4.3 Sponsor and management

Pinnacle is owned by its founders and Stirling Growth Fund (Stirling), a growth equity investor. The founders remain actively involved in the executive team and hold board seats alongside Stirling's nominees. Stirling invested to support the greenfield programme and has a stated investment horizon of four to six years, which implies a sale or recapitalisation event within or shortly after the tenor of this facility. The facility therefore includes a change of control event of default and mandatory prepayment on a sale unless Quillwood consents.

The executive team has run the business through the COVID-19 period and the subsequent labour market tightening. Occupancy recovered to pre-pandemic levels, and management delivered the existing greenfield openings broadly on budget. Quillwood has met the Chief Executive Officer, the Chief Financial Officer and the Stirling investment team. Detailed shareholding and beneficial ownership information is to be confirmed through KYC as a condition precedent.

4.4 Sponsor support

There is no equity commitment or guarantee from Stirling or the founders, and Quillwood does not rely on one. Stirling's support is a mitigant only to the extent that its interests are aligned in keeping the business within covenant. Quillwood considers the distribution lock-up described in section 8 to be a more reliable protection than any informal expectation of sponsor support.

5. Security

The facility will be secured by:

- a general security deed from Pinnacle Early Learning Pty Ltd over all present and after-acquired property, registered on the Personal Property Securities Register;
- guarantees and indemnities, supported by general security deeds, from every operating subsidiary of the Borrower, such that the guarantor group represents all of the Group's EBITDA and assets;
- a share charge over the shares in each guarantor subsidiary, to the extent they are not already covered by the general security deed;
- assignment of material insurances, with Quillwood noted as interested party.

Quillwood does not take mortgages over real property. Pinnacle's centres are largely leased and the value of the business lies in its licences, enrolled families and operating cash flow rather than in land and buildings. Enforcement would therefore depend on a going concern sale of the operating business or its centres, and the security package should be viewed as a means of controlling the business in a default rather than a source of asset based recovery.

For context, applying an indicative enterprise value multiple of 6.5x FY23 EBITDA, which is below the range at which listed and private childcare transactions have recently been completed, implies an enterprise value of approximately A$206.7M. Gross senior debt of A$85.0M would represent 41.1% of that value. This is a Quillwood estimate for credit purposes only and is not a valuation.

The guarantor group will be tested at close and annually, and the guarantors must account for not less than 95% of Group EBITDA and gross assets. Any new subsidiary that is operating must accede as a guarantor within 30 days.

6. Financial analysis

6.1 Historical and projected performance

The Borrower's FY23 results are drawn from unaudited management accounts. Audit of the FY23 financial statements is in progress and delivery of the signed accounts is a condition precedent. Revenue grew by approximately 5% in FY23 on the strength of fee increases and a partial year contribution from recently opened centres. EBITDA margin was 18.3%, supported by stable occupancy and by the pass through of the previous year's award increase.

Quillwood has reviewed management's financial model and prepared its own base and downside cases. The base case assumes occupancy of 85% across the mature estate, fee growth broadly in line with wage inflation, and a gradual contribution from the five greenfield centres. It reaches EBITDA of A$34.0M in FY26, which is consistent with management's plan. Interest is calculated on the full A$85.0M at a BBSW of 3.85%. Net debt falls after growth capex and permitted distributions.

A$M unless stated	FY23A	FY24F	FY25F	FY26F
Revenue	174.0	182.0	190.5	199.0
EBITDA (pre-AASB 16)	31.8	32.5	33.3	34.0
EBITDA margin	18.3%	17.9%	17.5%	17.1%
Interest	7.31	7.31	7.31	7.31
Net debt	76.6	74.0	70.0	65.0
Net leverage (x)	2.41	2.28	2.10	1.91
Interest cover (x)	4.35	4.45	4.56	4.65
Occupancy (assumed)	85%	85%	85%	85%

Table 5. Base case summary

The base case shows a margin decline of 1.2 percentage points over three years. This is a deliberate assumption: Quillwood expects fee growth to lag wage growth modestly, particularly in the years following a national award review. Even so, the base case produces steady deleveraging and growing interest cover.

6.2 Downside case

The downside case assumes that average occupancy falls by five percentage points to 80% by FY26, driven by new supply and softer demand, and that employee costs grow faster than fees. We estimate that each percentage point of occupancy is worth approximately A$0.8M of EBITDA, based on the current revenue per place and a 40% incremental margin. The downside case also assumes no net debt reduction over the period, as free cash flow is absorbed by growth capex and distributions.

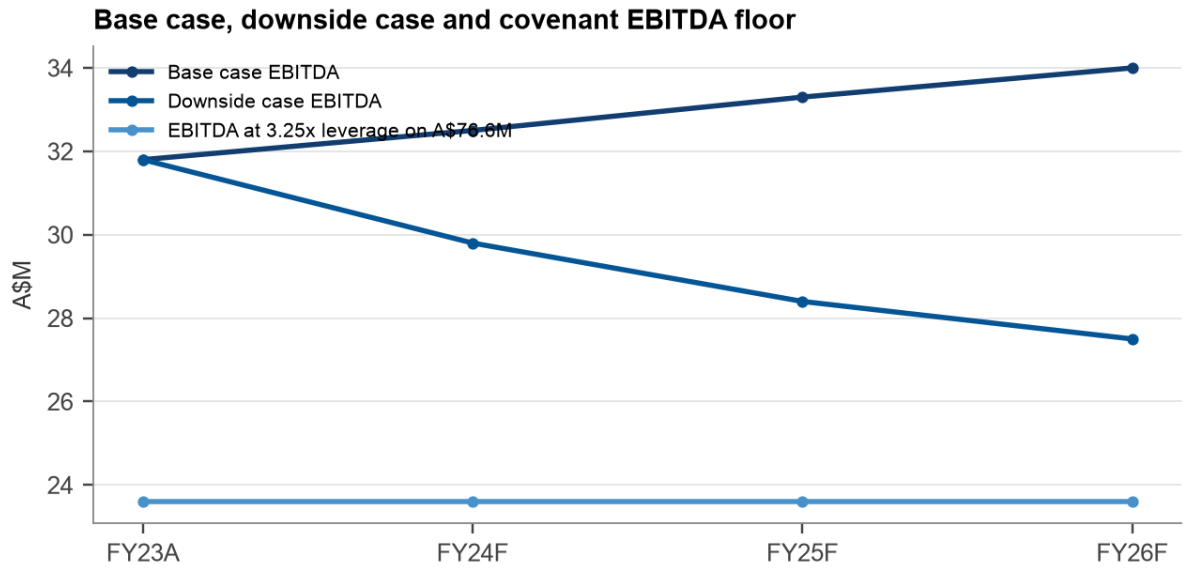


Figure 1. LTM EBITDA scenarios against the net leverage covenant floor

In the downside case, net leverage reaches 2.79x in FY26 (A$76.6M over A$27.5M) and interest cover is 3.76x. Both covenants are met throughout, although headroom to the leverage test narrows to about 14%. The covenant floor shown in Figure 1 is the EBITDA at which net leverage would equal 3.25x on opening net debt of A$76.6M, or A$23.6M.

6.3 Sensitivity to EBITDA

EBITDA fall	EBITDA (A$M)	Net leverage (x)	Interest cover (x)
Nil (FY23)	31.8	2.41	4.35
10%	28.6	2.68	3.92
20%	25.4	3.01	3.48
25.8%	23.6	3.25	3.23
30%	22.3	3.44	3.05

Table 6. Covenant sensitivity at constant net debt of A$76.6M and interest of A$7.31M

The leverage covenant is the binding constraint. A 25.8% fall in EBITDA, equal to A$8.2M, would breach it, while interest cover would still be 3.23x. In occupancy terms, and assuming no cost response, a fall of roughly ten percentage points to about 75% would be required. Management would be expected to respond to a decline of that scale by closing or consolidating weak centres and reducing roster hours, which is why we view the breach point as remote in the absence of a combined occupancy and wage shock.

6.4 Cash flow and liquidity

Pre-growth free cash flow in FY23 terms is approximately A$15M, being EBITDA of A$31.8M less maintenance capex of around A$3.5M, tax of around A$5.5M and interest of A$7.31M. This is available for growth capex, distributions and debt reduction. Opening free cash of A$8.4M provides around three weeks of operating cost cover. There is no undrawn working capital facility, and Quillwood will request that the Borrower establish one with a separate lender or that a small revolving tranche be considered at the next review. Rent is paid monthly in advance and fees are collected weekly in advance, so working capital is structurally favourable.

6.5 Interest rate exposure

The facility is floating rate. Without hedging, a 200 basis point rise in BBSW would add A$1.7M to annual interest, lift the all-in rate to 10.60%, and reduce opening interest cover to 3.54x. The hedging condition limits this exposure and is reflected in the conditions subsequent.

7. Key risks and mitigants

Risk	Assessment	Mitigant
Occupancy decline from new local supply	Medium to high. Western Sydney has seen new centre approvals, and Pinnacle's core estate is concentrated there.	Diversification across 69 centres and three states. Covenant headroom of 25.8%. Monthly occupancy reporting by centre.
Wage inflation and award changes	High. Employee costs are about two thirds of revenue and the Fair Work award is subject to annual review.	Fee review rights. Base case assumes margin compression. Downside case stresses costs. Leverage covenant tested quarterly.
Greenfield ramp-up and delivery	Medium. Five new centres carry construction, approval and ramp risk. Marsden Park and Box Hill are still ramping.	Capex account released against certified progress. No uplift assumed in the downside case. Capex overrun to be funded by equity.
Government policy	Medium. Child Care Subsidy settings and regulation affect parent affordability and demand.	Policy direction is currently supportive. Diversified revenue by state. Monitored through quarterly reporting.
Interest rate	Medium. Floating rate debt with no current hedging.	Hedging of at least 50% for three years as a condition subsequent. Interest cover of 4.35x at close.
Sponsor exit and change of control	Medium. Stirling is likely to seek an exit within four to six years.	Change of control default and mandatory prepayment. Quillwood consent required for any sale.
Security quality	Medium. No real property security; value depends on a going concern sale.	Full cover guarantor group. Share charges. Conservative enterprise value cover at 41.1%.
Regulatory and quality	Medium. Breaches of the National Quality Framework can lead to sanctions and reputational damage.	Reporting of material regulatory notices. Review of ratings by centre at each annual review.

Table 7. Key risks and mitigants

7.1 Discussion of principal risks

Occupancy is the primary driver of earnings and the variable on which this credit is most sensitive. The base case assumes that occupancy remains at 85%. Quillwood regards this as reasonable given the past two years but notes that it is not a floor. New centre approvals in Pinnacle's core catchments are a known risk and are not within management's control. The downside case explicitly tests a five point fall, and the covenant package has been calibrated so that such a fall does not result in a breach.

Labour cost inflation is, in our view, the most likely source of margin pressure. Educator wages are set by an industry award that is reviewed annually, and increases need to be recovered through fees, which parents can resist, particularly when supply is plentiful. Pinnacle has historically recovered cost inflation through annual fee reviews, but the lag between wage and fee increases can compress margins for a year or more. The combination of wage inflation and falling occupancy is the scenario most likely to erode headroom, and it is the reason Quillwood has asked for the restrictions on distributions and acquisitions.

Greenfield execution risk is partially mitigated by the capex account structure. Five centres is a material programme for a business of this size, representing 7% of the centre count. If any are delayed, the cost is limited because the capex remains in the account until work is certified. If they open but ramp slowly, they will drag on EBITDA for a period, which the downside case captures.

8. Covenants and undertakings

8.1 Financial covenants

Covenant	Requirement	At approval (FY23)	Headroom
Net leverage (net debt / LTM EBITDA)	Not more than 3.25x	2.41x	25.8% EBITDA
Interest cover (LTM EBITDA / interest)	Not less than 2.50x	4.35x	42.5% EBITDA

Table 8. Financial covenants, tested quarterly on LTM figures

EBITDA is defined on a pre-AASB 16 basis, so lease payments are deducted in arriving at EBITDA and lease liabilities are excluded from net debt. Net debt is gross financial debt less unrestricted cash, and excludes any balance in the capex account. Interest is cash interest and fees on a gross basis, net of hedging receipts and payments. Covenants are first tested on 30 September 2023 and the Borrower must deliver a compliance certificate within 45 days of each quarter end.

8.2 Other undertakings

- Distributions: not permitted while net leverage exceeds 2.75x or while a default is continuing.
- Acquisitions: any acquisition with a purchase price above A$5.0M, or any series of acquisitions in a financial year above A$10.0M in aggregate, requires lender consent.
- Financial indebtedness: limited to a basket agreed with Quillwood for finance leases and ordinary course obligations. No additional senior debt without consent.
- Negative pledge, restrictions on disposals outside the ordinary course, and a change of control event of default.
- Information: monthly management accounts and centre level occupancy within 30 days; quarterly compliance certificates within 45 days; audited accounts within 120 days of year end; annual budget before the start of each financial year.
- Greenfield capex: monthly progress reporting to the Agent and certification by an independent quantity surveyor prior to each release.

8.3 Covenant monitoring

Quillwood will track leverage and interest cover quarterly, and will track the LTM EBITDA trend and occupancy by centre monthly. An early warning review will be triggered if LTM EBITDA falls by more than 10% from the FY23 level, if average occupancy falls below 82%, or if net leverage exceeds 2.90x. Any of these would lead to a revised credit assessment and a discussion with management and Stirling about corrective action well before a covenant is at risk.

9. Conditions precedent and subsequent

9.1 Conditions precedent to first drawing

- Executed facility agreement, general security deed, guarantees, share charges and all related documents in form satisfactory to Quillwood and its counsel.
- Registration of security on the PPSR and confirmation of priority, and discharge of the existing lenders' security on repayment.
- Audited FY23 financial statements with an unqualified opinion, and financial due diligence confirming FY23 EBITDA of not less than A$31.0M on a pre-AASB 16 basis.
- Legal due diligence report covering corporate structure, licences and approvals, material leases, employment and litigation, with no adverse findings.
- Evidence that all operating centres hold current service approvals and provider approvals under the National Quality Framework, and that no material notices or sanctions are outstanding.
- Review of leases for the ten largest centres by EBITDA, including term remaining, rent review mechanisms and assignment provisions.
- Final financial model, reviewed by Quillwood, reflecting the agreed sources and uses.
- Establishment of the capex account with Quillwood as the sole signatory for releases, and a fixed-price construction contract or approved budget for each greenfield centre.

- Certificates of currency for insurance, including public liability, professional indemnity and business interruption, with Quillwood noted as interested party.
- Satisfactory KYC, AML/CTF and sanctions checks on the Borrower, guarantors, founders and Stirling, including confirmation of shareholding and beneficial ownership.
- Board resolutions, officer certificates and solicitors' opinions as required by Quillwood.

9.2 Conditions subsequent

- Interest rate hedging of not less than 50% of the drawn amount, for a minimum of three years, within 60 days of financial close.
- Accession of any guarantor not able to provide documents at close within 30 days, and confirmation that guarantors represent at least 95% of Group EBITDA and gross assets.
- Delivery of a landlord deed or consent for any centre where the lease requires landlord consent to the grant of security, within 90 days of close.
- First monthly occupancy report by centre within 30 days after the first full calendar month following close.
- Delivery of an updated board approved budget and three year plan within 90 days of close.
- Site visit by Quillwood to at least five centres, including Marsden Park and Box Hill, within six months of close.

10. Review and sign-off

This paper has been prepared by the Corporate Credit team of Quillwood Credit Partners for the Investment Committee. The analysis is based on information provided by the Borrower and Stirling, on Quillwood's discussions with management, and on Quillwood's own modelling. It has not been independently verified, and the conditions in section 9 are intended to address the principal areas of reliance. The next scheduled review is 12 months after financial close, or earlier if an early warning trigger in section 8.3 is reached.

Analyst	Priya Kilpatrick, Director, Corporate Credit
Analyst recommendation	Approve with conditions
Date prepared	3 August 2023
Reviewed by	Daniel Whitfield, Head of Corporate Credit
Approver	Investment Committee
Decision	Approved / Approved with conditions / Declined (to be completed)
Committee date	To be completed
Signed	To be completed

Analyst and approver sign-off